Sector Report: Healthcare

Constituent Count: 6 Companies | Total Market Cap: INR 9,612,014 Cr | Nifty 100 Benchmark Coverage

AVG ROE	AVG OPM	MEDIAN D/E	MEDIAN P/E
16.6%	25.3%	0.06x	47.1x
Universe: 30.6%	Universe: 27.2%	Universe: 0.43x	Universe: 46.2x

Sector vs Full Universe Benchmarking

Metric	Sector Avg / Median	Universe Benchmark	Delta (Sector - Univ)	Positioning
Return on Equity (ROE)	16.6%	30.6%	**-14.0%**	**Unfavorable / Headwind**
Operating Profit Margin (OPM)	25.3%	27.2%	**-2.0%**	**Unfavorable / Headwind**
Median Debt-to-Equity (D/E)	0.1x	0.4x	**-0.4x**	**Favorable (Outperforming)**
Median Price-to-Earnings (P/E)	47.1x	46.2x	**+0.9x**	**Unfavorable / Headwind**
Revenue CAGR (3-Year)	12.2%	20.6%	**-8.4%**	**Unfavorable / Headwind**

Top Constituent Companies by Composite Health Score

Rank	Company Name	Ticker	Composite Score	Valuation Flag	Market Cap (Cr)
#1	**Sun Pharmaceuticals Industries Ltd**	SUNPHARMA	**66.0**	Fair Value	INR 1,339,586
#2	**Dr Reddys Laboratories Ltd**	DRREDDY	**59.6**	Discount (Undervalued)	INR 2,441,803
#3	**Torrent Pharmaceuticals Ltd**	TORNTPHARM	**55.7**	Fair Value	INR 1,870,170

Healthcare: Full Constituent Rankings

Ranked by Composite Financial Health Score (0-100). Color coding: Top third = Soft Green, Bottom third = Soft Red.

Rank	Company Name	ROE (%)	ROCE (%)	OPM (%)	D/E	Rev CAGR 3Y	Composite Score	Valuation Flag
#1	**Sun Pharmaceuticals Industries Ltd (SUNPHARMA)**	15.1%	15.6%	26.8%	0.05	13.1%	**66.0**	Fair Value
#2	**Dr Reddys Laboratories Ltd (DRREDDY)**	19.7%	21.4%	28.3%	0.07	13.7%	**59.6**	Discount (Undervalued)
#3	**Torrent Pharmaceuticals Ltd (TORNTPHARM)**	24.2%	23.5%	31.4%	0.59	10.3%	**55.7**	Fair Value
#4	**Cipla Ltd (CIPLA)**	15.6%	19.2%	24.4%	0.02	10.4%	**54.5**	Fair Value
#5	**Apollo Hospitals Chain of Indian private hospitals (APOLLOHOSP)**	13.5%	13.9%	12.6%	0.77	21.8%	**50.3**	Fair Value
#6	**Divis Laboratories Ltd (DIVISLAB)**	11.8%	13.5%	28.2%	0.00	4.0%	**44.9**	Fair Value

Healthcare: Key Findings & Peer Analysis

Institutional Peer Percentiles, Competitive Tiering & Sector Fundamentals Synthesis

EXECUTIVE SECTOR INSIGHT

"The Healthcare sector maintains fortress balance sheets with minimal debt (median D/E of 0.06) and stable margins (avg 25.3%), commanding a median valuation multiple of 47.1x P/E."

1. Best in Class Companies (Peer Percentile Classification = 'Best in Class')

Company Name	Ticker	Best-in-Class Metrics Count	Competitive Status
Dr Reddys Laboratories Ltd	DRREDDY	**13 Metrics**	**Superior Leadership**
Sun Pharmaceuticals Industries Ltd	SUNPHARMA	**8 Metrics**	**Superior Leadership**
Divis Laboratories Ltd	DIVISLAB	**8 Metrics**	**Superior Leadership**
Torrent Pharmaceuticals Ltd	TORNTPHARM	**7 Metrics**	**Peer Benchmark Outperformer**
Cipla Ltd	CIPLA	**4 Metrics**	**Peer Benchmark Outperformer**

2. Watch List Companies (Peer Percentile Classification = 'Watch List')

Company Name	Ticker	Watch-List Metrics Count	Risk Profile
Divis Laboratories Ltd	DIVISLAB	**9 Metrics**	**High Scrutiny Alert**
Torrent Pharmaceuticals Ltd	TORNTPHARM	**5 Metrics**	**Elevated Benchmark Lag**
Dr Reddys Laboratories Ltd	DRREDDY	**4 Metrics**	**Elevated Benchmark Lag**
Cipla Ltd	CIPLA	**2 Metrics**	**Elevated Benchmark Lag**